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Managing the Hearts of Boundary Spanners:

CEO Organizational Identification and International Joint Venture Performance

Abstract

Integrating boundary spanning and organizational identification theories, we posit that a boundary spanner's organizational identification (i.e., the sense of oneness with an organization) is an important factor shaping inter-organizational relationships. We examined CEOs of international joint ventures (IJVs) as the boundary spanners in the Asia Pacific region by sampling 185 China-based IJVs. We found that organizational identification of an IJV's CEO with a parent firm is positively related to cooperation between the venture and that parent, and this relationship is stronger when the level of goal differences between parents is higher. The cooperation between the foreign (but not local) parent and the IJV is in turn positively related to the IJV's performance. This study extends extant research by revealing the role of a boundary spanner's organizational identification in inter-organizational collaboration as well as inter-firm goal differences as a boundary condition for this role.

Keywords: boundary spanner; CEO organizational identification; international joint venture; organizational identification theory; inter-organizational cooperation.

Managing the Hearts of Boundary Spanners:

CEO Organizational Identification and International Joint Venture Performance

Inter-organizational interactions have proliferated in recent years. Substantial research points out that boundary spanners—individuals who establish and share ties among different groups to facilitate the exchange of information, knowledge, and other resources (Ernst & Yip, 2009; Liu & Meyer, 2020)—represent an important interface for inter-organizational interactions (Bartel, 2001; Huang, Luo, Liu, & Yang, 2013; Pedersen, Soda, & Stea, 2019). Research has pointed to the importance of boundary spanners' characteristics such as tenure, hierarchical status, internal or external orientation, technical competence, communication competence, and cultural and language skills (Barner-Rasmussen, Ehrnrooth, Koveshnikov, & Mäkelä, 2014; Dailey & Morgan, 1978; Mäkelä, Andersson, & Seppälä, 2012; Tushman & Scanlan, 1981). Left largely unexamined are boundary spanners' psychological characteristics, which have the potential to influence boundary spanning and subsequently inter-organizational relationships (Ring & Ven De Van, 1992).

In particular, a boundary spanner's organizational identification, the extent to which the boundary spanner comes to define the self in terms of an organization's attributes and associated boundary (Ashforth & Mael, 1989), has received scant attention. This gap is critical: to better understand boundary-spanning, we need to examine how boundary spanners *enact* and *make sense* of the boundaries they span. Organizational identification—the process by which boundary spanners come to define themselves, communicate that characterization, and use it to navigate the relationships with interacting organizations—provides a sense-making vehicle. It depicts how a boundary spanner perceives the relationship between him/herself and the organizational boundary, and how he or she perceives the relationship between interacting organizational boundaries, shape his/her subsequent boundary spanning behaviors. Organizational identification situates a boundary spanner in a given organizational context and influences his/her cognitions (knowledge that one belongs to this organization), affects (feelings of being part of the organization), and behaviors (interactions with people inside and outside of the organization).

Prior research examined group identification and inter-group relationship within an organization (Mishra, Bhatnagar, D'Cruz, & Noronha, 2012; Richter, West, Van Dick, & Dawson, 2006; Vora & Kostova, 2007), however it did not make predictions about how boundary spanners' organizational identification affects and shapes relationships between organizations (Richter et al., 2006), an increasingly important void as modern organizational design gives rise to more inter-organizational interactions and boundary crossing.

There are three general types of inter-organizational relationship (see Figure 1). The first refers to distinct entities, i.e., independent organizations pursuing their own objectives. The second refers to embedded entities that have direct or indirect interests in another entity. An example is a subsidiary embedded in a multinational enterprise. Most relevant to our study is the third type, compound, or hybrid entities, where independent organizations pool resources together to form a third, formally independent organization.

Insert Figure 1

When a boundary spanner is situated at the intersection of multiple independent organizations, there are multiple organizational targets to identify with, raising such questions as how would the boundary spanner's identification with different organizations influence inter-organizational relationships and, subsequently, the performance of the focal organization. Moreover, in contrast to the inter-group relationships within the same organization (such as the embedded entities in Figure 1), multiple independent but interacting organizations often have divergent goals. The question then is: how would goal differences between the interacting organizations modify the impact of a boundary spanner's organizational identification on inter-organizational relationships?

To answer those questions, the present study utilizes international joint ventures (IJVs) in the Asia Pacific region as a setting uniquely suitable for our research agenda since it features a more relationship-oriented culture compared to the West (Chen & Chen, 2004; Xin & Pearce, 1996; Peng & Luo, 2000). An IJV is an entity where at least three legally independent entities are involved and interrelated to each other (see Figure 2), i.e., the parent firms and the venture. Boundary-spanning at the interface of those entities is part and parcel of the top management role in such systems, and is enacted as such (Richter et al., 2006; Shenkar & Zeira, 1987). The CEOs of IJVs, in particular, perform the boundary spanning function at the venture–parent interface, serving as the primary conduits for both communication and knowledge sharing, and are expected to facilitate the cooperation between parent firms and the venture (Aldrich & Herker, 1977).

Insert Figure 2

Our goal is to examine effective inter-organizational boundary spanning in reference to the boundary spanners' organizational identification. We extend extant research in following ways. First, we integrate organizational identification theory and boundary spanning theory to conceptualize inter-organizational boundary spanning. The boundary spanner's organizational identification is an important psychological factor that influences inter-organizational relationships. We theorize and find that boundary spanner's identification with different organizations (i.e., IJV versus the parent firms) impacts the focal organization's performance in distinct ways. Second, we address the call to identify boundary conditions that enhance or impede boundary spanning (Marrone, 2010). We show the goal difference between parent firms to be an important factor that moderates boundary spanning at the venture-parent interface. Finally, we also speak to contextual theory building in inter-organization relationships, i.e., the joint ventures operating in the Asia Pacific region[1]. We reveal that a boundary spanner's organizational identification with parent firms is an important relational antecedent to vertical cooperation (i.e., cooperation between the IJV and the parent firms) in IJVs in this region. Taking advantage of the relationship oriented Chinese context for theory building (Tsui, 2004), we demonstrate identification as an essential micro foundation for inter-firm collaboration by controlling for the effects from transaction cost economics (TCE) and agency-based factors, such as prior career affiliation, contracts, and incentive alignment (Gong, Shenkar, Luo and Nyaw, 2007; Weber and Mayer, 2014). In so doing, we show how organizational identification theory can significantly add to our understanding of vertical cooperation and IJV performance beyond TCE and agency theory.

Theory and Hypotheses

Theoretical Background and Research Model

The literature has documented that CEOs are firms' most important strategists and decision makers, and have a salient impact on corporate performance (Guigley and Hambrick, 2012; Guigley and Graffin, 2017; Mackey, 2008). This is also the case for firms operating in the Asia Pacific area (Koo and Park, 2018; Jiao, Harrison, Dyball and Chen, 2017; Lin, Dang and Liu, 2016; Xi, Zhao and Xu, 2017; Yan, Schiehll, & Muller-Kahle, 2019). Internally, CEOs are in charge of organizational tasks such as setting strategic goal, developing strategic plans and choosing target market. Externally, as boundary spanners, IJV CEOs perform multiple boundary-spanning functions at the interface between IJV and the parent firms as well as between local and foreign parents (Shenkar, Ronen, Shefy and Chow, 1998; Tushman & Scanlan, 1981).

According to boundary spanning theory (Aldrich & Herker, 1977; Luo, 2001; Tushman & Scanlan, 1981), boundary spanners play two critical spanning roles: information processing and

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[1] We thank Senior Editor for this point.

external representation. The information processing role suggests that an organization's ability to adapt to environmental contingencies depends in part on the expertise of boundary role incumbents in selecting, transmitting and interpreting information originating in the environment. Meanwhile, external representation is crucial as it enhances legitimacy, maintains organizational image and makes the organization visible. This theory views boundary spanning roles as the critical link between interacting organizations, significantly affecting the quality and process of inter-organizational cooperation.

IJV CEOs are the most important boundary-spanning personnel between IJV and its cross-cultural parents and between these parents who engage in various boundary-spanning activities for the IJV (Luo, 2001). They serve as a robust base from which to connect and share information (i.e., information processing behavior) and act as a relationship lubricant for effective cooperation and problem solving (i.e., external representation behavior). These enhanced boundary-spanning behaviors, in turn, benefit the IJV and help nurture the relationship between the IJV and parent firms and between the foreign and local parents. IJVs typically entail a considerable outlay of resources, create enduring and irreversible commitments between cross-cultural organizations which have difficulty controlling opportunism via formal governance mechanisms (Kogut, 1988). This makes the IJV CEO's boundary spanning roles crucial (Luo, 2001). Without the CEO's roles, interactions between foreign and local parent firms would largely be an economic rather than a social process. In the absence of that social process, economic exchange would not be sustained for long because of moral hazards (i.e., opportunistic behavior of one party after the other party has already committed to the exchange) or uncertainty about individual and joint payoffs when parties act simultaneously. Furthermore, fortified boundary- spanning role nurtures knowledge exchange, which is central to the success of inter- organizational cooperation (Inkpen & Dinur, 1998). Without that role, the evolutionary processes of knowledge exchange in long-term relational contracts such as joint ventures are difficult to complete.

Prior research confirms the coexistence of multiple identities (Ashforth, Harrison and Corley, 2008; Riketta & Nienaber, 2007). IJV CEOs are situated at the intersection of at least three legally independent organizations, all of which are potential organizational targets to identify with – the IJV, the foreign parent and the local parent. We suggest that IJV CEOs' organizational identification determine not only their specific boundary roles but also how they recognize, understand, interpret and execute these roles. As a boundary spanner, IJV CEO's identification with diverse organizational targets will influence boundary spanning activities such as cooperation with these targets. Below, we first theorize the identification of IJV CEO with different organizational targets and the corresponding impact. The theoretical model is depicted in Figure 3.

Insert Figure 3

IJV CEO's Identification with IJV and IJV Performance

Organizational identification theorists argue that individuals who highly identify with an organization take the organization's values and goals as their own (Hogg & Terry, 2000). They choose activities congruent with their organizational identities, and engage in activities that benefit the organization (Bergami & Bagozzi, 2000; Dukerich, Golden, and Shortell, 2002). They actively aim to maintain and enhance their organization's image and are willing to engage in actions that help it. The reason is that individuals are driven to protect and enhance their self-concept and esteem, and people who identify with an organization derive their self-concept and esteem in part from what is distinct about that organization and central to it. Research supported the idea that humans have a basic need for self-enhancement and self-esteem. This innate desire to enhance self-esteem motivates an individual with high level of organizational identification to help the organization succeed.

Per organizational identification theory, an IJV CEO's high level of identification with the focal venture has cognitive, affective and behavioral implications. A CEO who identifies with the venture perceives himself or herself as a member of the venture (cognitive component), and feels strong belonging to the IJV (affective component), positively evaluates the venture's characteristics (evaluative component) (Bergami & Bagozzi, 2000; Dukerich, Golden, and Shortell, 2002). As a boundary spanner, such CEO is ready to represent or stand for the venture and to advance the venture's goals and interests (behavioral component) when engaging in boundary spanning activities with other players in the IJV system (e.g., securing information or resources vital to the IJV from the parents). The CEO who identifies strongly with the IJV personalizes the IJV's successes and failures, and is energized to work hard personally and to work collaboratively with members of the IJV to achieve venture's success. Thus, we predict that IJV CEO's identification with the venture is positively related to the performance of the venture.

IJV CEO's Identification with Parent Firms and IJV-parent Cooperation

While IJV CEO is the head of the venture and in charge of venture operations, an important role enacted by an IJV's CEO is as a boundary spanner at the interface between IJV (the focal organization) and parent firms (closely interacting organizations). We argue that the IJV CEO's identification with parent firms can facilitate a venture's CEO boundary spanning functions and hence enhance the inter-organizational cooperation between the IJV and the parent firm.

IJV CEOs perform primarily four boundary spanning functions– exchanging, linking, facilitating and intervening (Aldrich & Herker, 1977; Barner-Rasmussen et al., 2014). When performing the exchanging and facilitating functions, IJV CEOs receive information from and transmit information to the parent firms. They decode, filter and translate the information before passing it to the relevant internal users. They also share appropriate internal information with parent firms. Boundary spanners act as channels through which IJV-parent messages are delivered and interpreted. They help members of both organizations understand each other. When performing the function of linking, IJV CEOs use their personal networks to enable previously disconnected actors link up across boundaries. When performing intervening, IJV CEOs engage in IJV-parent interactions to create positive outcomes. They achieve this by resolving misunderstandings, managing conflicts and building trust.

Organizational identification theory suggests that identification enhances perceived similarity among individuals within the organizational boundary (Ibarra & Andrews, 1993; Tajfel, 1974). This enhanced perception of similarity facilitates cooperation. Research also shows that individuals tend to perceive members of their own groups in positive terms (Brewer, 1979). All else being equal, individuals expect more positive behaviors from those with whom they share identities. When a venture's CEO identifies with a parent firm, s/he develops a sense of *oneness* with members of the two organizations. The perception of oneness enables a CEO to cross organizational boundaries with the purpose of linking previously disconnected actors, exchange information, and facilitate interactions. An IJV's CEO who identifies with a parent firm is motivated to connect the two organizations to achieve mutual goals (Zollo & Winter, 2002). At the same time, the parent firm is more likely to regard such a CEO as its own people and thus cooperate with him/her and the venture. Indeed, researchers have documented similar effects (e.g., McDonald & Westphal, 2010).

Moreover, organizational identification also shapes individuals' causal attributions about others' motives and intentions. Research has shown that individuals are more likely to attribute negative behavior of ingroup members to external, unstable factors, whereas the same behavior by an outgroup member is more likely to be attributed to stable, internal factors (Brewer & Kramer, 1985; Hewstone, 1994). Due to these attribution biases, negative information about other members will be discounted so within group relationships remain intact. This suggests that an IJV's CEO with high level of identification with a parent firm is apt to perform the intervening function by resolving misunderstandings and managing conflicts so that a cooperative relationship between IJV and the parent firm is maintained. To sum up, we hypothesize:

Hypothesis 1a: IJV CEO's identification with the foreign parent firm is positively related to the cooperation between the IJV and the foreign parent firm once his/her identification with the IJV is controlled for.

Hypothesis 1b: IJV CEO's identification with the local parent firm is positively related to the cooperation between the IJV and the local parent firm once his/her identification with IJV is controlled for.

IJV CEO's Identification with Parent Firms and Venture Performance: The Mediating Role of Venture-Parent Cooperation

As we elaborated earlier, IJV CEO's identification with parent firms enhance cooperation between the IJV and parent firms. As we elaborate below, the cooperation between the IJV and the parent firms enhances IJV performance. Taking these two points together, overall, we expect that the IJV CEO's identification with that parent firms will benefit venture performance because such identification promotes venture-parent cooperation.

Research on inter-firm relationships has linked cooperation between them with firm performance (Combs & Ketchen, 1999; Damanpour, Devece, Chen & Puthukuchi, 2012; Smith, Carroll, & Ashford, 1995). The IJV literature notes that firms can enrich their resource endowment by means of inter-firm cooperation, thus gaining a competitive advantage (Borys & Jemison, 1989; Hamel, 1991; Jolly, 2005; Sim & Ali, 2000). One key motivation to establish an equity-based IJV is to pool together organizational knowledge (Hennart, 1988; Kogut, 1988). From a

TCE perspective, an equity-based IJV is chosen when there is market imperfection in transacting knowledge and when internalizing the knowledge under a unified ownership (e.g., through merger or acquisition) is too costly to manage (Hennart, 1988). Toward a similar end, but from a different logic, the knowledge-based view (Kogut & Zander, 1992, 1996; Zander & Kogut, 1995) sees an equity-based IJV as a means by which firms learn or seek to retain their capabilities (Hamel, 1991; Inkpen and Dinur, 1998). In this view, firms contain a knowledge base that is not easily diffused across organizational boundaries. An equity-based IJV is, then, a vehicle by which 'tacit' knowledge (Polanyi, 1976) is transferred and combined. Research documented that resources from the parent firm is essential to IJV success (Dhanaraj, Lyles, Steensma, and Tihanyi, 2004; Lyles & Salk, 1996; Steensma & Lyles, 2000). In cross-border ventures, knowledge from both foreign and local parents is likely to be important for the venture. In developing and emerging economies, the foreign parent typically contributes managerial and technological expertise, whereas the local parent brings local market knowledge, local social networks, and host government support.

A cooperative relationship between the IJV and the parent firms is essential for the venture to obtain resources independent of an IJV's capacity (Dhanaraj et al., 2004; Kale, Singh, and Perlmutter, 2000). Arms-length market relationships are often facilitated via high-order incentives (Williamson, 1991). Within hierarchies, shared values and high-order systems play a critical role in resource transfer (Brown & Duguid, 2001; Kogut & Zander, 1992). In hybrid organizational forms such as IJVs, however, contract-based high-order incentives are far from complete, and top-down hierarchical fiat may not work (Crocker & Masten, 1988; Lui & Lu, 2002; Yan & Gray, 2001). Building identification-based cooperation is hence vital for resource transfer to take place. Vertical cooperation provides opportunities for the IJV to obtain and absorb resources from its parents, and the transferred resources lay a foundation for the venture to perform successfully.

So far, our theoretical development suggests that IJV CEO's identification with a parent firm is positively associated with the cooperation between the IJV and that parent firms. We also expect that the IJV-parent cooperation will be positively related to IJV performance since success partially depends on parents' resources, and parent knowledge is among the most valuable ones. Under a cooperative venture-parent relationship, managerial and technological knowhow are more readily shared with and more easily transferred to the venture. Parent firms are also more willing to consider the needs of the venture and provide broader support. To sum up, we hypothesize:

Hypothesis 2a: IJV CEO identification with the foreign parent has an indirect positive relationship with IJV performance via enhancing the cooperation between the IJV and the foreign parent.

Hypothesis 2b: IJV CEO identification with the local parent has an indirect positive relationship with IJV performance via enhancing the cooperation between the IJV and the local parent.

Goal Difference between Parents as a Moderator

In addition to the vertical relationship between the parent firms and the IJV, parents interact with one another. This parent–parent relationship provides a context in which the IJV CEO enacts his/her organizational identification and is likely to shape the effect of his/her identification with a parent firm and the cooperation between the IJV and that parent firm. Specifically, parent firms may have different goals in establishing the IJV. For instance, parent A may want to use the IJV as a vehicle to access technology, whereas parent B intends to use the abundance of labor and expand into the local market. Alternatively, parent A may care a great deal about expanding employment via the IJV, whereas parent B mainly focuses on profits. These goals may be different but not necessarily incompatible. For example, by establishing and operating a profitable IJV, parent B can meet its employment needs. Similarly, parent A can learn a technology by working with parent B in the IJV; parent B can use cheap labor and gain a foothold in the local market. Goal difference highlights the distinction among parent firms, making parent identities more salient. The salience of a parent firm identity, according to social identity theory (e.g., Tajfel & Turner, 1986), activates and unleash the power of the IJV CEO's identification with that parent firm, making the effect of such identification on IJV cooperation with that parent firm stronger.

Goal difference is an important contextual consideration for two reasons. First, although an IJV represents a cooperative system, parents may only have partially overlapping goals. They may pursue different strategic goals and even compete outside the IJV. Previous research suggest that goal difference influences inter-party cooperation in IJVs (Hamel, 1991; Khanna, Gulati, & Nohria, 1998; Luo & Park, 2004). Second, differences between two identification targets generally make them more distinct to observers; therefore, a goal difference between parent firms, the two potential identification targets for the IJV CEO (Albert & Whetten, 1985; Vora, Kostova, & Roth, 2007), should make the parent firms' identities more salient to that CEO. For an organizational identity to have a strong influence on the cognition, affect, and behavior of the IJV CEO, the identity must be salient and "activated." If an individual is not consciously aware of an identity (i.e., the identity is not activated), then this identity is not likely to strongly affect his/her behavior. Hence, conditions that make identities activated and more salient are crucial to the effect of such identities (Ashforth & Johnson, 2001; Ashforth & Mael, 1989). Given that the goal difference highlights the distinction between parents, it should make parent organizational identities more salient to the IJV CEO and therefore strengthen the effect of his/her identification with a parent in terms of vertical cooperation (i.e., cooperation between the IJV and that parent firm).

For ease of discussion, we compare the following two scenarios: (a) not much goal difference occurs between parent A and parent B, and (b) a great deal of goal difference occurs between parent A and parent B. Everything else being equal, our prediction is that the IJV CEO's identification with parent A will have a stronger effect on the cooperation between the IJV and parent A under the second scenario. This prediction is based on the fundamental principle of identity activation (Ashforth & Mael, 1989; Shih, Pittinsky, & Ambady, 1999). In our example, when the level of goal difference between parent A and parent B is high, the effect of the IJV CEO's identification with parent A on the IJV–parent A cooperation becomes even stronger than the previous level. The IJV CEO is "acting out" his/her identification with parent A by connecting to parent A more (e.g., by increasing the frequency and intensity of communication with parent A) (Cheney & Tompkins, 1987). The goal difference between parent A and parent B imposes inconsistent (albeit not necessarily incompatible) demands on the IJV CEO, thus activating his/her identification with parent A and unleashing the power of such identification, which then leads to greater cooperative behaviors with parent A. In the extreme case of incompatible or competing parent goals, the out-group (parent B) is in competition with the in-group (parent A), and the CEO's identification with parent A prompts him or her to defend parent A in order to protect the parent A's identity under threat (Elsbach & Kramer, 1996). Therefore, we hypothesize:

Hypothesis 3: *The goal difference between the parent firms moderates the positive relationship between an IJV CEO's identification with the parent and IJV–parent cooperation, such that the positive relationship is stronger when the goal difference is greater.*

Methods

Data and Sample

We used a mixed-method design, using both quantitative and qualitative evidence (Leech & Onwuegbuzie, 2009; Teddlie & Tashakkori, 2011). Mixed-method research involves collecting, analyzing, and interpreting quantitative and qualitative data in a single study. We collected data from China-based IJVs because non-equity alliances do not meet our goal of examining independent legal entities.

In our study, we adopted an explanatory design by collecting quantitative data from 2007 to 2008, and then we collected qualitative data in 2011. We have three reasons to use an explanatory sequential mixed-method design. First, quantitative and qualitative methods complement each other. Quantitative research reveals general patterns, whereas qualitative research provides detailed contextualized information with which to understand and interpret those general patterns. Second, qualitative interviews help us in further verifying hypothesized relationships by tapping into respondents' understandings in a non-intrusive way. Third, scholars who take a more communicative approach to identification set the stage for language-centered investigations of identification, especially in the form of expressed accounts (Cheney, Christensen, & Dailey, 2014). Qualitative evidence is a vital source for expressed accounts. The quantitative sample included 185 pairwise questionnaires we collected from EJVs. The qualitative sample included 21 IJVs and their CEOs as a subsample for which we collected quantitative data.

We collected pairwise data from a total of 185 IJVs through two channels from a population of IJVs in Jiangsu Province and in Shanghai municipality. In the first channel, a Nanjing University professor gained access to 103 IJVs. The professor first contacted the participants to schedule an appointment. Then, research assistants conducted the survey at the physical locations of the IJVs. In the second channel, a professor from an international business school in Shanghai gained access to the alumni database, which provided information for identifying IJVs. We received responses from 82 IJVs by the second channel. All these received surveys are pairwise, one from the CEO/general manager and one from the senior vice-president for each IJV. Each pair of surveys was assigned a unique code for data matching purposes. The respondents were assured that their responses would be kept confidential and used for research purposes only. We provided respondents with the English version surveys when requested.

We first compared two sub-samples. We ran a Kruskal–Wallis test, and results show that the two sub-samples have no significant differences in IJV age, industry distribution, and performance. We also compared the sample means for IJV age, size, and industry distribution to those of a population composed of IJVs that had operated until the end of the same year in Jiangsu Province and in Shanghai municipality. A t-test and a Wilcoxon rank sum test showed that our sample IJVs did not differ from those in the wider population in terms of age ($t = -0.88$, *n.s.*) and total assets ($t = 1.05$, *n.s.*). A chi-square goodness of fit test showed that the industry distribution of our sample IJVs did not differ from that in the wider population (test statistic = 1.79, *n.s.*).

Measures

Survey items were translated into Chinese using the back-translation procedure (Brislin, 1986). We first requested a bilingual management professor to translate the English items into Chinese. Another professor, fluent in both Chinese and English, then back-translated them into English. Finally, a third bilingual professor compared the English version with the original version. The two versions were highly comparable.

We collected data on the IJV CEO's identification with the parent firms and IJV performance from two informants in each IJV (i.e., an IJV CEO and an IJV senior vice president). In this analysis, we used the IJV CEOs' report of their identification with the parent firms (i.e., the local and the foreign parents, respectively), as IJV CEOs can provide the most accurate ratings of their own identification with the organizations. IJV CEOs also reported the cooperation between parent firms and IJVs because, as boundary spanners, they directly interact with the parent firms and are thus in a good position to rate such cooperation. We used IJV performance, reported by senior vice-presidents, so that the IJV CEO's identification with parent firms (the predictor) and IJV performance (the dependent variable) are rated by different sources; this approach minimized any potential common methods bias (Podsakoff, MacKenzie, Lee, & Podsakoff, 2003).

IJV CEO's organizational identification. We adapted the organizational identification measures from Mael and Ashforth (1992). This scale has been used extensively in prior research and has been shown to be reliable and valid (Ashforth, Saks, & Lee, 1998; Bergami & Bagozzi, 2000; Dukerich et al., 2002). We adapted the measure and used four items for our research context. Sample items are as follows: (1) "I am very interested in what others think about the joint venture," (2) "When I talk about joint venture, I usually say 'we' rather than 'they'," (3) "When someone criticizes the joint venture, it feels like a personal insult," and (4) "If a story in the media criticized the joint venture, I would feel embarrassed." The items are the same for IJV CEO's identification with parent firms, except we replaced "joint venture" with "foreign parent" and "local parent" for the IJV CEO's identification with foreign parents and local parents, respectively. For the IJV CEO's identification with a foreign parent, Cronbach's alpha was 0.84 and composite reliability was 0.97. For the IJV CEO's identification with a local parent, Cronbach's alpha was 0.90 and composite reliability was 0.94. For the IJV CEO's identification with the venture, Cronbach's alpha was 0.87 and composite reliability was 0.98.

Cooperation between venture and parent. Cooperation was measured using nine items from Yan & Zeng (1999) and Luo and Park (2004). The items tapped into cooperation in different areas (e.g., production, research and development, purchasing, marketing, human resources, and budgeting). Cronbach's alpha values were 0.94 for venture–foreign parent cooperation and 0.95 for venture–local parent cooperation. Composite reliability values were 0.88 for venture–foreign parent cooperation and 0.90 for venture–local parent cooperation.

Goal difference. We measured goal difference using a composite index that contained 13 objectives between parents: a) generate profit, b) take advantage of investment incentives, c) gain access to monetary resources, d) learn management and production skills, e) reduce risks associated with full ownership, f) employ skilled personnel, g) expand employment, h) reduce costs, i) expand reputation, j) develop research and development capabilities, k) expand Chinese market, l) expand international market, and m) join forces with potential competitors. Each item was measured on a five-point Likert-type scale. The index is based on the following formula:

$$GI_{fl}=\frac{1}{13}\sum(Q_{if}-Q_{il})^2/Vi$$

where GI is the goal difference between foreign and local parents, Q_{if} is the score for question i for the foreign partner, Q_{il} is the score for question i for the local partner, and V_i is the variance of question i. This measure and its computation were obtained from Luo and Park (2004).

IJV performance. Conceptualizing and measuring IJV performance is a complex challenge (Yan & Zeng, 1999). Prior research used objective measures, such as duration, and financial gains, as well as subjective measures, e.g., satisfaction (Park & Ungson, 1997). We used an index based on a senior vice-president's subjective ratings in five areas, compared with major competitors: a) return on investment, b) sales, c) profit growth rate, d) market share growth, and e) reputation (Gong, Shenkar, Luo, & Nyaw, 2007; Luo, 2002). The subjective measurement approach has been shown to correlate, with a high degree of reliability, to objective measures (Chandler & Hanks, 1993; Geringer & Hebert, 1991). Cronbach's alpha for the scale was 0.85 and composite reliability was 0.82.

We also made efforts to check the IJV performance measure by obtaining ratings from the IJV senior vice president and both local and foreign parent firms (Gong et al., 2007; Kumar & Seth, 1998; Luo & Park, 2004; Lyles & Salk, 1996; Smith et al., 1995) of 30 IJVs in our sample. The rating from the IJV senior vice president was positively related to the ratings from both the local ($r = 0.70$, $p < 0.01$) and the foreign ($r = 0.91$, $p < 0.01$) parent firms.

Common method bias. Conceptually, common methods bias is not a major concern in this study. Regarding the relationship among IJV CEO identification, JV-parent cooperation and IJV performance, the first and the second variables were rated by IJV CEO themselves, whereas the third was rated by the senior vice president of IJVs. Information from different sources reduces the likelihood of common method bias (Podsakoff, MacKenzie, Lee, & Podsakoff, 2003). We performed two additional checks for any potential common method bias concerns. We conducted an Harman's one-factor test (Podsakoff and Organ, 1986; Podsakoff et al., 2003), subjecting to one-factor analysis the IJV CEO identification with the parents, IJV-Parent cooperation and IJV performance. The largest factor accounted for 31% of the total variance, and no general factor was apparent. Secondly, we employed a common latent factor method to CFA analysis of the constructs of our study. This is the most rigorous method to test and handle common method bias suggested by Podsakoff et al. (2003). Specifically, we subjected all the items rated by the same rater to a latent common method variable in the confirmatory factor analysis and directly calculated the size of potential 'distortion' from common method bias for each path in the CFA model. The results demonstrated that none of the path in our CFA model was significantly affected by common method bias (the 'distortion' in standardized regression weights was less than 4%). Common method bias is not a major concern.

Control variables. *IJV size* often affects a firm's market power over its competitors, in addition to having the potential to increase economies of scale (Luo & Park, 2004). In our study, IJV size was measured as its total assets. This variable is positively skewed; thus, we used the logarithm of the variable in the analysis. *Length of operations* reflects the level of IJV experience and learning that can influence IJV performance. This variable is positively skewed; thus, we used its logarithm value in the analysis. We controlled for the *industries* in which the IJV operates, differentiating manufacturing from other industries, such as technology and services. We also controlled for *IJV CEO affiliation* (an agency theory-based variable) prior to the IJV CEO post (Salk & Shenkar, 2001). We used dummy coding to capture three types of affiliations (i.e., foreign parent, local parent, and others). The "others" category was set as the reference category.

Several structural factors could affect the cooperation between parent firms and IJVs, including the number of partners, resource complementarity among them, contract completeness (a TCE-based variable), prior cooperation experience between partners, and incentive alignment with the parent firms (an agency theory-based variable) (Gong et al., 2007; Kumar & Seth, 1998; Luo & Park, 2004; Reuer & Ragozzino, 2006; Smith et al., 1995). Accordingly, we controlled for these factors. We measured the degree of *resource complementarity* between foreign and local partners with one item: "To what degree do the resources and capabilities of the local and foreign parents complement each other?" (1 = very low, 5 = very high). We used the four-item scale from Luo (2002) to assess *contract completeness*, or the degree to which an IJV contract specifies relevant terms and clauses concerning how to set up, operate, and terminate the IJV, as well as how to collaborate and resolve conflicts regarding the IJV between parent firms. Sample items include a) "How to set up the joint venture" and b) "How to operate and manage the joint venture." Cronbach's alpha was 0.71 for the scale.

We used a dummy variable to record whether foreign and local partners had *prior experience* of cooperation. We used three items to capture the incentive alignment between IJV CEOs and the parents: 1) parent firms provide IJV managers with promotion opportunities in the parent headquarters, 2) parent firms promote IJV managers to parent headquarters based primarily on their achievement of parent objectives, and 3) parent firms provide IJV managers with career paths in parent firms. Cronbach's alpha was 0.93 for the scale. Finally, prior studies addressed the *cultural distance* between foreign and local parents as a factor affecting cooperation and performance (Barkema & Vermeulen, 1997; Park & Ungson, 1997). As our study involves a compound system where foreign and local companies are involved, it is important to control for the effect of cultural differences between parent firms. It is noted that corporate level cultural difference is the most appropriate level of analysis for our research (Dong and Glaister, 2007), as it likely reflects both national and corporate cultural differences while avoiding some of the shortcomings associated with the cultural distance construct at the national level (Shenkar, 2001).

We hence followed Luo (2002) and measured cultural differences as reported by IJV CEOs. Specifically, we asked IJV CEOs to report the difference in cultures between the two parents with the highest ownership shares in the IJVs. IJV CEOs also report the information on other control variables, as they are the most important informants to evaluate these aspects of IJVs.

Results

Table 1 presents the descriptive statistics and the zero-order correlations among the study variables. The IJV CEO's identification with the local parent was positively related to cooperation between the IJV and the local parent ($r = 0.44$, $p < 0.01$). The IJV CEO's identification with the foreign parent was positively related to the cooperation between the IJV and the foreign parent ($r = 0.23$, $p < 0.01$). The relationship between vertical cooperation and IJV performance was also positive ($r = 0.35$, $p < 0.01$ for the foreign parent; $r = 0.18$, $p < 0.05$ for the local parent).

Insert Table 1

We conducted confirmatory factor analysis (CFA) on the entire measurement model. The results of the full measurement model were as follows: $\chi^2 = 839.46$, $df = 336$, $p = 0.00$; CFI = 0.87, RMSEA = 0.09. We should interpret the results of the full measurement model with caution because the sample-size-to-parameter ratio is less than 2:1. In other words, the sample size is small relative to the number of parameters. Thus, we decided to run CFA with parceling as an alternative measurement model. Given that the factor analyses on the scales clearly indicated the unidimensionality of each scale, using the parceling approach based on random assignment of items is appropriate (Kishton & Widaman, 1994; Landis, Beal, & Tesluk, 2000; Little, Cunningham, Shahar, & Widaman, 2002). By using this parceling approach, the sample-size-to-parameter ratio can meet the common standard of 5:1 (e.g., Bentler & Chou, 1987). The CFA results based on the parceling method were as follows: $\chi^2 = 164.95$, $df = 75$, $p = 0.00$; CFI = 0.96, RMSEA = 0.08. Overall, the results showed that the constructs are distinct. We also performed additional tests on validity and reliability of main variables in our study (see Table 2). The results show that the measurements of our constructs are with good validity.

Insert Table 2

Hypothesis Testing

Unlike multiple regression analysis, structural equation modeling (SEM) provides a mechanism to consider measurement errors in the observed variables involved in the model. SEM also has the unique ability to simultaneously examine a series of dependent relationships, such as when a dependent variable becomes an independent variable in subsequent relationships within the same analysis. We used a two-step SEM approach in accordance with Anderson & Gerbing, (1988). After running CFA, we conducted a path analysis of the model using scale means of constructs. We ran both the CFA and path analysis in Amos (version 22). Given that some controls were not significant and our sample size was not large, we kept significant controls only in the path analysis for parsimony. The hypothesized model fit the data well: $\chi^2 = 21.66$, $df = 19$, $p = 0.30$; CFI = 0.99, RMSEA = 0.03. Figure 4 presents the model testing results.

Insert Figure 4

Hypothesis 1a suggests that IJV CEO's identification with the foreign parent is positively related to the IJV–foreign parent cooperation. The results support the hypothesized relationship ($\beta = 0.25$, $p = 0.00$). The IJV CEO's identification with the local parent firm is positively related to the IJV–local parent cooperation ($\beta = 0.34$, $p = 0.00$). Hypothesis 1b is therefore also supported.

Hypotheses 2a-2b together suggests an indirect relationship between the IJV CEO's organizational identification with the parent firm and IJV performance via the venture–parent cooperation. Given that our sample size was modest, we tested the indirect relationship using the bootstrapping approach. This approach not only provides a direct test of the significance of the indirect relationship, it is also considered more appropriate for small to moderate samples in which the sampling distribution of the indirect relationship is less likely to be normal (Hayes, 2009; Preacher, Rucker & Hayes, 2007). The 5,000 bootstrapping results indicated that the *indirect* relationship between the IJV CEO's identification with the foreign parent and IJV performance (via IJV–foreign parent cooperation) was significant ($\beta = .07$, $p < 0.05$, 95% CI [0.02, 0.17]). The indirect relationship between the IJV CEO's identification with the local parent and IJV performance (via the IJV–local parent cooperation) was also significant ($\beta = .07$, $p < 0.05$, 95% CI [0.02, 0.15]).

Hypothesis 3 posits that goal difference between parent firms moderates the relationships specified in H1. Specifically, the path between the IJV CEO's identification with the foreign parent and the IJV–foreign parent cooperation is stronger when the goal difference between parent firms is higher. The results indicated that the moderation effect was positive and significant ($\beta = 0.14$, $p = 0.02$). Figure 5 illustrates the moderation effect. The relationship between IJV CEO identification and IJV–foreign parent cooperation was significant when goal difference was high (1*SD*; simple slope: $\beta = 0.34$, $p = 0.00$) but nonsignificant when goal difference was low (-1*SD*; simple slope: $\beta = 0.06$, *n.s.*). Hypothesis 3 also posits that the path between the IJV CEO's identification with the local parent and the IJV–local parent cooperation is stronger when the goal difference between parents is greater. The results showed that the moderating effect was positive and significant ($\beta = 0.16$, $p = 0.00$). Figure 6 illustrates the moderation effect. The relationship between IJV CEO identification and IJV–local parent cooperation was significant when goal difference was high (1*SD*; simple slope: $\beta = 0.41$, $p = 0.00$) but nonsignificant when goal difference was low (-1*SD*; simple slope: $\beta = 0.10$, *n.s.*). Altogether, Hypothesis 3 was supported.

Insert Figure 5 and Figure 6

Effects of Control Variables

Below, we report significant control variables in the model. In the path from CEO identification with IJV to IJV-local parent cooperation, two control variables were significant: (1) resource complementarity (β = 0.13, p = 0.02); (2) CEO identification with local parent (β = 0.39, p = 0.00). In the path from CEO identification with IJV to IJV-foreign parent cooperation, three control variables were significant: (1) resource complementarity (β = 0.12, p = 0.03); (2) CEO identification with foreign parent (β = 0.26, p = 0.00); (3) contract completeness (β = 0.20, p = 0.01). In the path from IJV-parent cooperation to IJV performance, only the culture difference between parents was significant (β = - 0.09, p = 0.02).

Robustness Check

Following the gold standard in the literature (Shook, Ketchen, Hult and Kacmar, 2004) to address the possible reverse causality issue empirically, we tested alternative models in which we reversed the direction of the paths (e.g., Wayne, Shore, Bommer and Tetrick, 2002; Wang, Law, Hackett, Wang and Chen, 2005). The first alternative model is from IJV performance to the parent–IJV cooperation to CEO identification. The results show that the reverse model did not reach an acceptable fit (χ^2 = 367.72, df = 45, p = 0.00; CFI = 0.33, RMSEA = 0.20) and its fit was significantly worse than that of the hypothesized model (χ^2 = 21.66, df = 19, p = 0.30; CFI = 0.99, RMSEA = 0.03). The second alternative model is from IJV–parent cooperation to CEO identification to IJV performance relationship. Amos testing was not able to estimate the parameters in this alternative model. Minimization was unsuccessful, which is a sign that the specified model fits the data very poorly. We also performed a robustness test of our model using the IJV performance ratings from IJV CEOs, and as expected, our results remain the same.

Qualitative Interviews

To examine further the relationships between the key variables and, more importantly, to investigate the IJV CEO's organizational identification from a communicative perspective, we conducted interviews with CEOs from 21 IJVs and conducted a content analysis of the interview data. We provide the interview questions in Table 2 and findings in Table 3.

Insert Table 2&3

The interviews were semi-structured and conducted either on-site or by telephone. Each interview lasted at least half an hour. Among the 21 interviews, 2 (9.52%) were conducted by telephone. We used the counting and coding strategy for content analysis research (Krippendorff, 2004; Strauss & Corbin, 2008) to count the instances of hypothesized relationships among the key concepts identified. We documented the presence or absence of certain links, and summarized quotations (available upon request) that contained similar ideas. For example, to depict the relationship between the IJV–foreign parent cooperation and IJV performance, we first coded each interview for the presence or absence of a link between the two and then categorized the relationships based on the resulting directions (i.e., whether the cooperation led to IJV performance or vice versa.) We did not use interpretive coding, but rather simply coded for outright mention of a link between concepts. This approach is a conservative way for coding the relationships between concepts. Overall, the qualitative interview results provided greater support for the relationships proposed in our model than for the reverse relationships.

The findings from the interviews are as follows. For the relationship between the CEO's identification with the local parent firm and the IJV–local parent cooperation, 16 cases (76.19%) showed that the CEO's identification was associated with a cooperative relationship, and none of the cases indicated the reverse. In 5 cases (23.81%), we could not clearly establish a link between the two variables based on the interview responses. A sample quotation from an IJV CEO who identified with the local parent was as follows: "I regard myself as a member of the local parent and I serve on the board of the IJV. I therefore frequently *communicate* [italic added by the authors] with the local parent to maintain the quality of the relationship. The cooperation with the local parent company has been smooth and pleasant. There is a high level of trust between us."

For the relationship between the CEO's identification with the foreign parent and the IJV–foreign parent cooperation, 19 cases (90.48%) showed that the CEO's identification with the foreign parent was associated with a cooperative relationship. No single case indicated the reverse. In 2 cases (9.52%), we could not establish a clear link between the two variables. A sample quotation from an IJV CEO who identified with the foreign parent was as follows: "The foreign parent is a big corporation. It is financially strong and the resources that it has put into the venture have helped a lot. I think highly of it. I have a very good relationship with the board members from the foreign parent. They support the venture strategically, financially, and technically. My major role in the relationship [between the IJV and the foreign parent] has been as a liaison and a *communicator*. I fully trust them, and I believe they trust me too."

For the relationship between the IJV–foreign parent cooperation and IJV performance, 19 cases (90.48%) indicated that IJV–foreign parent cooperation is associated with IJV performance. A sample quotation from an IJV CEO was as follows: "The cooperation with the foreign parent is super important to the venture's performance. It helped the venture with the technology and also helped expand the market. I'd say that we have to attribute the venture's success to this cooperative relationship." Two cases (9.52%) suggest a possible link from IJV performance to IJV–foreign parent cooperation. For the relationship between IJV– local parent cooperation and IJV performance, 18 cases (85.71%) showed that cooperation is related to IJV performance. Three cases (14.29%) suggested a possible link from IJV performance to IJV–local parent cooperation.

Discussion

In this study, we examined a boundary spanner's organizational identification as an important antecedent to inter-organizational cooperation and subsequent IJV performance. We found that IJV CEO's identification with the IJV has a direct positive association with IJV performance. IJV CEO's identification with a parent firm is positively related to cooperation between the venture and that parent firm, and this relationship is stronger under greater goal differences between the parent firms. Cooperation between the venture and the foreign parent is, in turn, positively related to IJV performance, while cooperation between the venture and the local parent is not. Our findings have meaningful implications.

Implications for Boundary Spanning Theory and Research

Prior research points to the importance of characteristics of boundary spanners (Barner-Rasmussen et al., 2014; Dailey & Morgan, 1978; Tushman & Scanlan, 1981), but has offered little on how boundary spanners make sense of their organizational boundaries and those with which they connect. Applying organizational identification theory to study the roles of boundary spanners at inter-organizational interface, we fill the gap in the literature, finding that boundary spanners' organizational identification is an important antecedent to boundary spanning behaviors and inter-organizational cooperation. In a cross-cultural setting, boundary-spanning roles don't arise spontaneously but is deliberately developed through continuous commitment to nurturing inter-organizational exchange. We demonstrate that IJV CEOs' organizational identification with the venture and with parent firms is an important commitment of their own, which in turn bears strong implications for inter-party cooperation and IJV performance.

Our study also enriches the boundary-spanning logic by the conclusion that IJV CEO's boundary spanning is both endogenous and exogenous. It is endogenous because CEO boundary role itself is not a given. Instead, it is determined by their self-identification with different entities involving in the IJV system. It is exogenous because boundary-spanning functions affect IJV-parent cooperation and performance. Organizational identification theory provides a lens for us to understand boundary spanners' cognition and perceptions about organizational boundaries. Such perception and cognition have significant implications for boundary spanning and performance. Our study will hopefully stimulate more attention to the psychological factors associated with the key boundary spanners in the study of inter-organizational relationships.

Implications for International Joint Venture Research

This study builds a micro-macro link in vertical cooperation. We advance the current literature by identifying a relational, psychological antecedent, namely, IJV CEO organizational identification, to vertical cooperation between the IJV and the parent firms and, subsequently, IJV performance. This antecedent is derived from the organizational identification logic, not from the TCE or agency logic, with the latter being extensively studied (e.g., Gong et al., 2007; Parkhe, 1993). We show that, after controlling for the effects of organizational and structural variables including those based on TCE and agency theory, an IJV CEO's identification with the parent firms represents a separate determinant of vertical cooperation. This finding will stimulate attention on the relational, psychological features associated with the key boundary spanners in the study of IJVs and, more broadly, to the behavioral processes underlying the formation, operations, and performance of such ventures.

Our study clearly shows that the IJV CEO's identification with parent firms fosters cooperation between the IJV and the parents. This result extends TCE and agency theory, which assumes that an agent will act opportunistically without control mechanisms (e.g., contract, incentive alignment with parents, and prior affiliation with parent firms). The IJV CEOs' prior affiliations, as discussed in agency theory, is a proxy for the principal (parent firms) to exercise control over its agents (managers in IJVs). We find that prior affiliations with a foreign parent firm are negatively associated with the vertical cooperation between the IJV and the local parent. No significant association is found between prior affiliations with a local parent and any vertical cooperation (i.e., cooperation between the IJV and the local parent, and cooperation between the IJV and the foreign parent). Another example is contract completeness. While this variable is related to the cooperation between the IJV and the foreign parent, it is not related to the cooperation between the IJV and the local parent. The IJV CEO's identification with a parent firm, however, is a powerful and consistent antecedent to vertical cooperation for both foreign and local sides. Organizational identification theory can significantly advance our understanding of vertical cooperation and IJV performance beyond what TCE and agency theory can explain.

Our research also speaks to the study of factional groups in the IJV context. Factional group studies (e.g., Li & Hambrick, 2005) implicitly assume that subgroup relations in IJVs are a function of distinct organizational identification with different parent firms, but such studies have yet to thoroughly investigate such identification. We develop an argument concerning how IJV CEO's identification with a parent may impact IJV–parent cooperation and focal IJV performance. Empirically, we are able to pinpoint the effect of IJV CEO's identification with a particular parent while controlling for his or her identification with other organizational targets. Moreover, the study of factional groups assumes that "members are aware of and attach salience to the factions" (Li & Hambrick, 2005: p. 797). Our study evokes Li and Hambrick (2005) in that the salience of an organizational target is indeed an important theoretical consideration. We move closer to capturing salience by including goal differences between parent firms.

Implications for Contextual Theory Building

Our unique research context enables us to investigate contextual factor(s) that affect boundary spanning at the inter-organizational interface (Teagarden, Von Glinow & Mellahi, 2018; Zahra, 2007). An IJV involves at least three entities, drawn together in a collaborative effort. They are legally independent yet frequently interact with each other. Unlike nested (e.g., departments nested within an organization) and distinct entities (two separate organizations), IJV parent firms have only partially overlapping goals, and the variability of goals enables us to observe and test our theory about the role of goal differences in boundary spanner's identification process and in associated outcomes. Goal differences between parent firms makes the parent firms as salient identification targets, and identification with a target intensifies the boundary spanning behavior of the boundary spanner (i.e., IJV CEO) with that target.

Second, while we did not formally hypothesize, we expected IJV–foreign parent cooperation and IJV–local parent cooperation to have similarly positive impact on IJV performance. Our result showed the impact of IJV–foreign parent cooperation, but not IJV–local parent cooperation. This pattern of results could be explained by a contextualized perspective. Specifically, as firms in China intensify their efforts to move up the value chain and embrace innovation-driven growth, market competition shifts to technological and managerial capabilities and innovations. This should make superior managerial and technological expertise, often provided by the foreign parent, more important than local knowledge for IJVs in our sample. This makes boundary-spanning behaviors with foreign parent more important for IJV performance. The implication is that the level of dependence of the focal organization on external organizations may differ and it may be a moderating variable in influencing the impact of inter- organizational boundary spanning on performance outcomes (Marrone, 2010).

Finally, in the Asia Pacific region, national and organizational cultures have emphasized relationships among firms much more than those in the West (Hitt, Lee and Yucei, 2002; Peng & Luo, 2000). Prior research on firms operating in this region or international business exchange (e.g., buyer-supplier) involving partners from this region have attested to the importance of relationships such as trust (Ho, Ghauri, & Larimo, 2018) and local network (Kim & Kim, 2018) in knowledge acquisition, firm survival, etc. Recent research on international expansion of Chinese firms also suggests that a firm's relationship (Guanxi) with government and business partners help with internationalization through enhancing a firm's linking and leveraging capabilities (Du & Zhou, 2019; Wei & Nguyen, 2020). Complementing this line of research and focusing specifically on IJVs operating in China, we show that after controlling for TCE- and agency-based variables, fostering identification with inter-connecting firms (e.g., parent firms) is important for inter-firm cooperation (e.g., venture-parent cooperation) in the Asia Pacific context. Interestingly, differences between interconnecting firms (e.g., between parent firms of an IJV) are also important because executives are sensitive to such differences when it comes how their identification with inter-connecting firms would shape inter-firm cooperation. Overall, we take advantage of the relationship orientation of our research context, and extend TCE- and agency-based IJV research by providing a relational dimension (i.e., CEO organizational identification with parent firms) to understand inter-firm cooperation and IJV performance in the Asia Pacific region.

Practical Implications

Our findings offer important practical implications. Organizations often promote identification with themselves. Identification with other organizations is often frowned upon if not downright rejected. We show that in a cooperative system like IJV, a boundary spanner's identification with a focal firm (i.e., IJV) certainly benefits the focal firm. However, a boundary spanner's identification with other firms can also benefit the focal firm because such identification fosters cooperation between the focal firm and the other firm. Firms should therefore pay close attention to relational aspects when forming and managing IJVs. Overall executives are advised to consider but also go beyond TCE- and agency-based variables (e.g., contract completeness) when managing inter-firm relationships in the Asia Pacific region.

Future Research

This study has several limitations that point to potential future research directions. First, the cross-sectional design of this study precluded us from establishing causal relationships between variables. Theoretically, the reverse relationships are less likely to exist than our proposed relationships. For example, based on the identity-matching principle, good venture performance may lead to heightened CEO identification with the venture itself and not necessarily with parent firms. Furthermore, the fact that an IJV is performing well does not necessarily lead to a better rating of the parent cooperation with the IJV. Self-serving bias suggests that IJV executives may attribute good IJV performance to their own capabilities and efforts. Furthermore, when IJVs are doing well, CEOs may feel that they no longer need the parents to any great extent. As a result, parent–IJV cooperation may actually decrease. We empirically tested a model with the reversed relationships, and the model indicated a worse fit than the hypothesized model. We also tested the predicted relationships using additional qualitative data. The interview data provided additional support for the proposed relationships. Future research could benefit from a longitudinal approach to establish causality.

Second, we examined IJVs in China, which may pose a generalizability issue. For instance, we expected the IJV–foreign parent cooperation and IJV–local parent cooperation to have similarly positive impacts on IJV performance, but our results supported the former only. As firms in China intensify their efforts to move up the value chain and embrace innovation-driven growth, market competition shifts to technological and managerial capabilities and innovations. This should make superior managerial and technological expertise, often provided by the foreign parent, more important than local knowledge for IJVs in our sample. The implication is that the level of dependence of IJV on parent firms may be a moderating variable that influences the effect of inter-organizational boundary spanning on IJV performance outcomes (Marrone, 2010). We encourage future research to directly test this possibility. Furthermore, we recommend that future research conducts direct comparisons of IJVs based in the Asia Pacific region with their counterparts based in the West, as well as compare IJVs in different Asian Pacific nations as the nature of relationships, while generally strong, varies, e.g., between Japan and China.

Third, in our theoretical model, IJV CEO (as a boundary spanner) is the primary catalyst of cooperation between venture and parent firms. Although IJV CEO primarily bridge and connect IJV and parent firms and shape the cooperation between the IJV and parent firms, he or she must work with other TMT members within the venture. In other words, other TMT members may affect the extent to which IJV CEO's boundary spanning activities and the resulting venture-parent cooperation will be effective (Huang et al., 2013; Luo, 2001). It would be meaningful to examine how managers with different roles work as a team and how their identification with the venture and with the parent firms shape the vertical cooperation with parent firms and subsequent IJV performance.

Fourth, our focus is to pinpoint the effect of IJV CEO identification with a particular parent while controlling for his or her identification with other organizational targets. A meaningful research topic for study next is to directly compare and contrast the degree of identification with multiple organization targets, and examine how the balance of a dual/multiple identities may impact inter-organizational relationships.

Fifth, we sampled equity rather than non-equity joint ventures. EJVs represent a third entity that is legally independent from parent firms. EJVs provide an appropriate context for testing our hypotheses. In other non-nested settings wherein trust and interpersonal relationships are more important we expect our results regarding identification and cooperation to be more significant. Thus, we encourage future research to examine our model in such settings. Finally, we controlled for some key variables derived from TCE and agency theoretical perspectives, such as CEO prior affiliation, incentive alignment with parent firms, and contract completeness. Future research can develop a fuller list of TCE and agency -theoretic variables and directly compare their effects on IJV multi-party cooperation with that of boundary spanners' identification.

Conclusions

Despite the above limitations, this study is among the first to examine the effects of a boundary spanner's identification with interfacing organizations on the outcomes of the focal organization. It shows that, in IJVs, identification with a parent firm has an indirect positive relationship with IJV performance via IJV–parent cooperation. It also demonstrates that the strength of the indirect effect is contingent upon the level of goal difference between the parent firms. Overall, we show that organizational identification adds new insight into the inter-organizational relationships beyond TCE and agency theory. We hope this study will stimulate more research on the social and psychological factors in understanding inter-organizational relationships. This is especially necessary for firms operating in the Asia Pacific region where relationship-oriented culture is more prevalent.

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Table 1

Means, Standard Deviations, and Correlations among Study Variables

	Mean	S.D.	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
1. IJV age	2.02	0.72	-														
2. IJV size	5.88	1.38	.35**	-													
3. Industry	0.55	0.49	.10	.16*	-												
4. Culture distance	2.28	1.20	.01	-.02	-.08	-											
5. Cooperation experience	0.26	0.43	-.12	.04	.01	.06	-										
6. Goal difference	1.32	1.26	.05	.06	.05	-.16*	-.08	-									
7. Resource complementarity	3.48	1.02	-.21**	-.10	.06	.18*	.23**	-.01	-								
8.CEO affiliation: foreign parent	0.28	0.44	.01	-.10	-.12	-.21**	-.07	.08	-.06	-							
9. CEO affiliation: local parent	0.53	0.49	.07	.13	.21**	.10	.07	-.15*	.02	-.66**	-						
10. Contract completeness	3.80	.70	-.15*	-.15*	.09	-.06	.01	.01	.11	-.06	.11	-					
11. CEO OI: foreign parent	3.82	0.83	-.13	-.11	-.02	.10	-.05	-.08	-.06	.11	-.12	.04	-				
12. CEO OI: local parent	3.73	0.99	-.18*	-.05	.11	.26**	.16*	-.34**	.11	-.29**	.25*	.01	.40**	-			
13. CEO OI: joint venture	3.39	0.75	-.11	-.08	.11	-.08	.02	.12	.04	-.05	-.06	.07	.40**	.32**	-		
14. IJV-FP cooperation	3.87	0.75	.01	.11	.02	-.03	.08	.06	. 15*	.02	-.04	.20**	.23**	.07	.10	-	
15. IJV-LP cooperation	3.72	0.83	-.07	.10	-.02	.14	.23**	-.27**	.21**	-.17*	.12	.07	.05	.44**	.02	.32**	-
16. IJV performance	3.69	0.72	.08	.25**	.17*	-.19**	.15*	.10	.01	-.02	.10	.05	.08	.04	.24**	.35**	.18*

Note: N = 185. OI = organizational identification. IJV–FP cooperation = equity joint venture – foreign parent cooperation. IJV–LP cooperation = equity joint venture – local parent cooperation. The unit for IJV size is in 1 billion USD. Industry: 1 = manufacturing; 2 = high technology; 3 = service; 4 = others. *$p < .05$, ** $p < .01$.

Table 2
Convergent Validity and Composite Reliability of Key Constructs

Latent Variables	CFA Factor Loadings	AVE	CR
IJV Performance		.51	.82
Indicator 1	1		
Indicator 2	1.06***		
IJV-Foreign Parent Cooperation		.78	.88
Indicator 1	1		
Indicator 2	0.84***		
Indicator 3	0.92***		
IJV-Local Parent Cooperation		.85	.90
Indicator 1	1		
Indicator 2	0.89***		
Indicator 3	0.90***		
CEO Identification with Foreign Parent		.87	.97
Indicator 1	1		
Indicator 2	1.55***		
CEO Identification with Local Parent		.85	.94
Indicator 1	1		
Indicator 2	1.34***		
CEO Identification with IJV		.93	.98
Indicator 1	1		
Indicator 2	1.38***		

Note: CFA fit: $\chi^2 = 164.95$, $df = 75$, $p = 0.00$; CFI = 0.96, RMSEA = 0.08; Average Variance Extracted (AVE) greater than .50 indicate the convergent validity of the construct is high (Raine-Eudy, 2000); Composite reliability (CR) greater than .70 indicates that reliability is high (Hair et al., 1998). *$p < 0.05$, **$p < 0.01$; ***$p < 0.001$

Table 3
Interview Questions

Relationships	Interview Questions
CEO identification with the foreign parent and foreign parent–IJV cooperation	1. What do you think of the foreign parent? Given a choice, would you like to have a cooperative relationship with it or even become a member of it? 2. To what extent do you derive your personal identity from the association with the foreign parent? 3. How would you describe the cooperative relationship between the IJV and the foreign parent in the past few years? Was it good or not? What factors do you think lead to a good/bad cooperative relationship? 4. What role did you play in the cooperation between the IJV and the foreign parent? 5. Did you find interacting with the foreign parent a pleasant experience? Do you trust them? Do you feel that you are trusted?
CEO identification with the local parent and local parent–IJV cooperation	1. What do you think of the local parent? Given a choice, would you like to have a cooperative relationship with it or even become a member of it? 2. To what extent do you derive your personal identity from the association with the local parent? 3. How would you describe the cooperative relationship between the IJV and the local parent in the past few years? Was it good or not? What factors do you think lead to a good/bad cooperative relationship? 4. What role did you play in the cooperation between the IJV and the local parent? 5. Did you find interacting with the local parent a pleasant experience? Do you trust them? Do you feel that you are trusted?
Foreign parent–IJV cooperation and IJV performance	1. Is the cooperative relationship between the IJV and the foreign parent important for the venture? Why or why not? 2. Would a change in the IJV performance affect the cooperative relationship between the IJV and the foreign parent?
Local parent–IJV cooperation and IJV performance	1. Is the cooperative relationship between the IJV and the local parent important for the venture? Why or why not? 2. Would a change in the IJV performance affect the cooperative relationship between the IJV and the local parent?

Table 4
Relationship Directions and Mechanisms among Key Constructs

Relationships	Examples	%
Between <u>CEO identification with the local parent</u> (A) and <u>local parent-IJV cooperation</u> (B)		
1. A led to B	"I regard myself a member of the local parent, and I serve on the board of the IJV. I therefore frequently communicate with the local parent to maintain the quality of the relationship. The cooperation with the local parent company has been smooth and pleasant. There is high level of trust between us." "I really do not want to work for a company like the local parent firm. It is badly run. Its management has flaws. The local parent is the buyer for IJV's products. They delayed the payments and underpaid too. I do not trust them. I do not think the IJV has a good relationship with them."	76.19%
2. B led to A	None	0%
3. No relationship between A and B	"I feel that I am part of the IJV. Given the opportunity, I'd stay working here in the IJV. I do not want to go back to the local parent company, though I worked there before, and though they have been very supportive to the venture." "The local parent is a very decent company – it has modern management and treats employees pretty well. Given the opportunity, I'd love to work for a company like the local parent… Over time, the IJV has fewer and fewer cooperative projects with the local parent. We (the IJV) become less dependent upon it as we become more competitive on our own. I personally do not spend a lot of time and energy on the cooperative relationships between the venture and the local parent."	23.81%

Between CEO identification with foreign parent (A) and foreign parent-IJV cooperation (B)		
A led to B	"The foreign parent is a big corporation. It is financially strong, and the resources that it has put into the venture have helped a lot. I think highly of it. I have a very good relationship with the board members from the foreign parent. They support the venture strategically, financially, and technically. My major role in the relationship (between IJV and foreign parent) has been as a liaison and a communicator. I fully trust them, and I believe they trust me too." "The foreign parent is a world-wide known enterprise. Given the opportunity, I'd love to work for it. Why not? I think this helped develop the good cooperative relationship between the venture and the foreign parent. They give so much technical support, and we've learned a lot from it. Between the venture and the foreign parent, my role is to work as a communicator mainly. The people (in the foreign parent company) are easy-going. I trust them."	90.48%
B led to A	None	0%
No relationship	"I do not think I belong to either the local parent or foreign parent. I'd rather stay independent. The foreign parent supports the venture. There is no doubt about it."	9.52%
Between local parent-IJV cooperation (A) and IJV performance (B)		
A led to B	"The drop of the venture's performance is largely due to the poor cooperation with the local parent. They are responsible for purchasing the venture's products, and yet they delayed payments and also underpaid. The delay caused a financial crisis for the venture." "The cooperation with the local parent is important to the venture's performance. The local parent is the biggest customer for the venture's products." "It (the cooperation with the local parent) is very important to the venture. The foreign parent has the opportunity to switch to another local company as the local partner. But the foreign parent decided to continue cooperating with the current local parent. They (the local parent) are very supportive of the venture, especially in gaining permits from the local authorities. This greatly helped the joint venture."	85.71%

B may lead to A	"If the venture's performance drops, maybe it will affect the cooperation and support from the local parent. But we (the venture) has performed pretty well so we do not have that issue at all."	14.29%
No relationship between A and B	None	0 %
Between <u>foreign parent-IJV cooperation</u> (A) and <u>IJV performance</u> (B)		
A led to B	"The cooperation with the foreign parent is super important to the venture's performance. It helped the venture with the technology, and also helped expand the market. I'd say that we have to attribute the venture's success to this cooperative relationship." "The venture relies on the support from the foreign parent for its brand name, its oversea marketing channels, and also its reputation among oversea customers. Their cooperation is very important for the venture's performance. "The foreign parent supports the venture tremendously. It provides 70 percent of the financing, and also provides a lot of technical experts for the venture. Plus, it was very patient when the venture was still in its early stages. It gives lots of resources to the venture for it to develop and to perform."	90.48%
B may lead to A	"The foreign parent provides channels for resources and state-of-the-art managerial expertise. Its cooperation is important for the venture. If the venture's performance changes, I guess it will have an impact on the cooperative relationship. But I cannot tell you what the impact would be like. It all depends on the situation."	9.52%
No relationship	None.	0%

Figure 1
Nested Entities, Compound Entities, and Distinct Entities

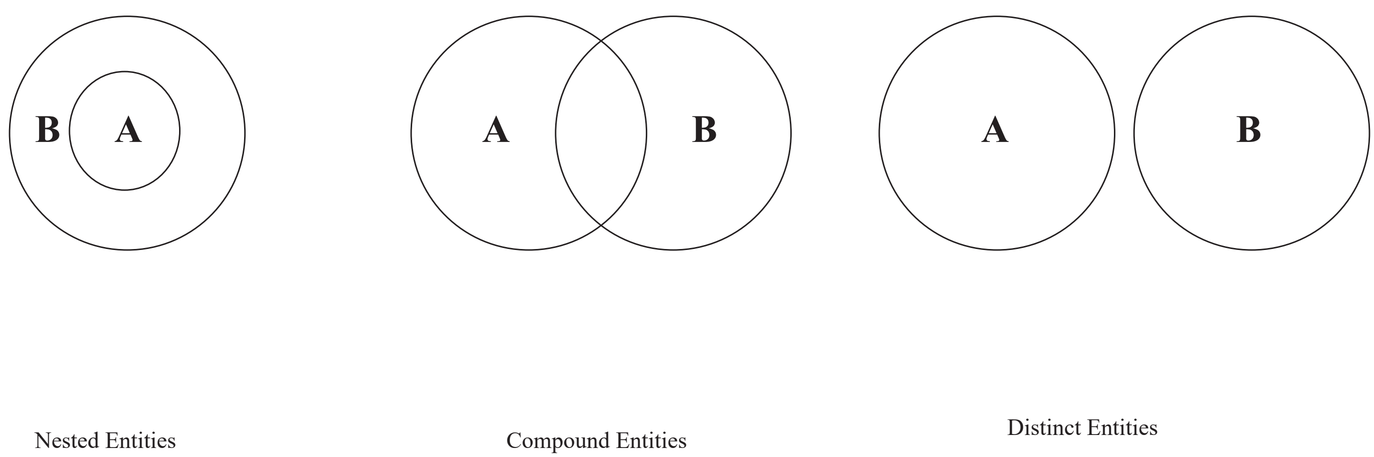


Figure 2
Entities in the IJV Setting

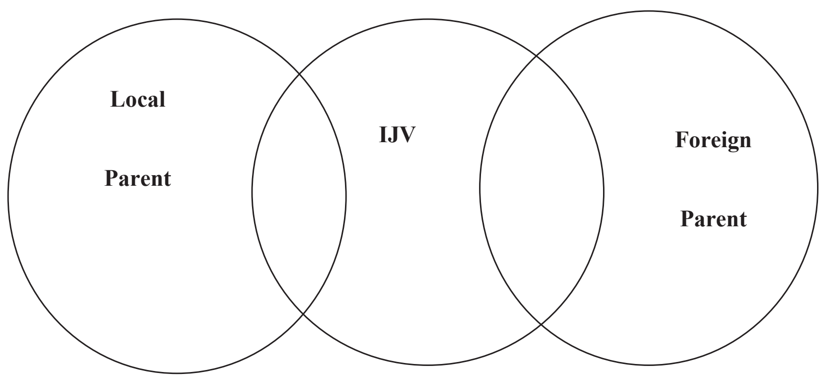


Figure 3
Theoretical Model for the Study

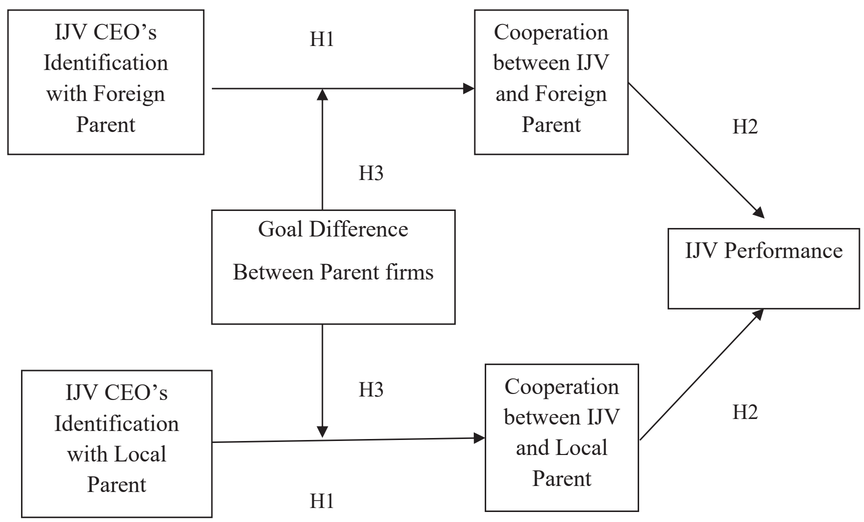
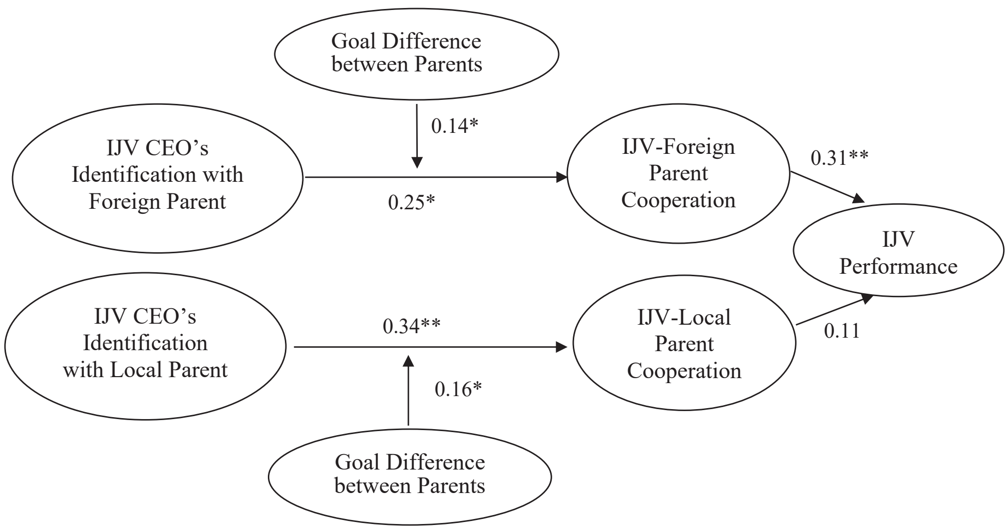


Figure 4

Path Estimates of the Hypothesized Model



Note: Significant control variables (with $p < 0.05$) in predicting IJV performance are: IJV CEO identification with IJV; cultural differences between local and foreign parents; IJV CEO prior affiliation with local parent.

Model fit: $\chi^2 = 21.66$, $df = 19$, $p = 0.30$; CFI = 0.99, RMSEA = 0.03. *$p < 0.05$; **$p < 0.01$.

Figure 5

Interactive Effect of IJV CEO's Identification with Foreign Parent and Goal Difference between Parent Firms on IJV-Foreign Parent Cooperation

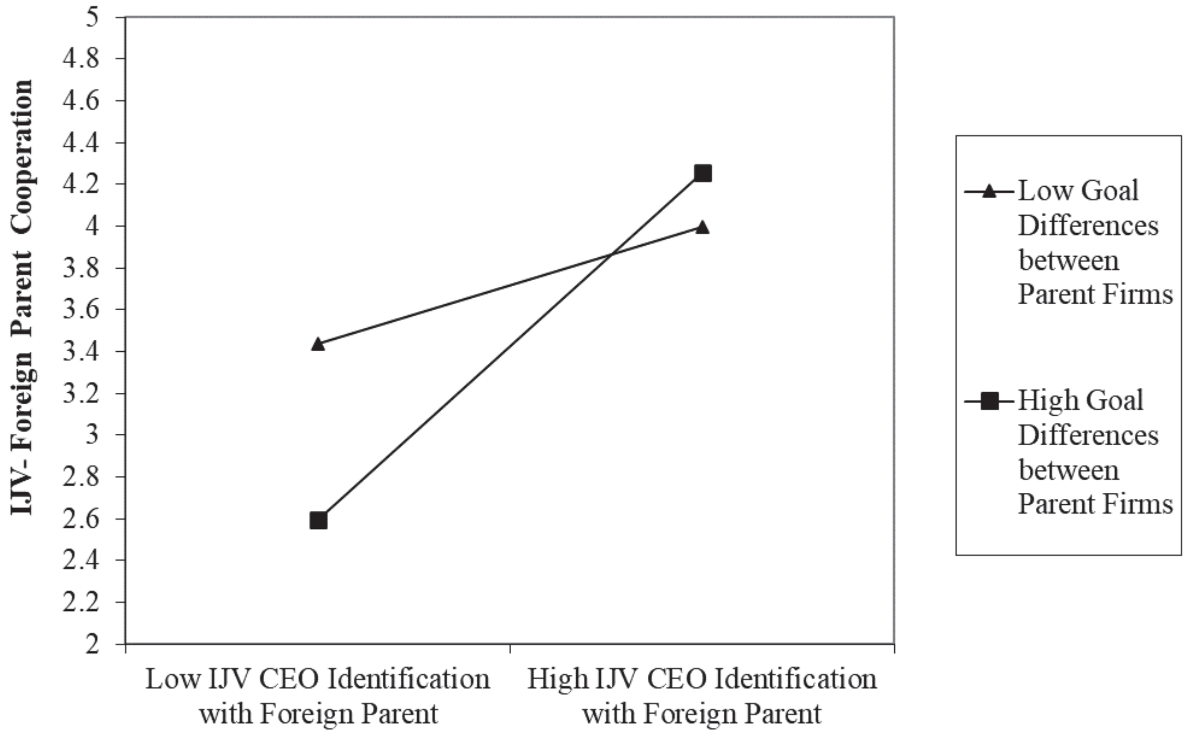


Figure 6

Interactive Effect of IJV CEO's Identification with Local Parent and Goal Difference between Parent Firms on IJV-Local Parent Cooperation